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Management - 2022

01 a) Strengths

- market leader
- operating for last 40 years
- use state-of-the-art machinery.
- diverse variety of products.
- Large and well established work force and infrastructure
- large network of distributors.

Weaknesses

- relies heavily on local raw material suppliers
- marketing strategy has not given the exposure to their range of products.
- hardly use the internet based marketing
- limited functionality of the web-based solution.

Opportunities

- expansion to the web-based solution to support online sales and supplier/customer management.
- give exposure to their range of products in their local and international marketing strategy.
- use of social media marketing.

Threats

- market is saturated with many local and foreign competitors.
- restrictions on imports
- higher inflation rate.
- economic instability of the country.
- strong united association among raw material suppliers

b) Bargaining power of buyers (High)
→ customers have many options.
→ heavily reliant on domestic customers.

Bargaining power of suppliers (High)
→ relies entierly on local suppliers.
→ and they ~~are~~ have a strong united association

Threat of substitutes (High)
→ market is saturated.
→ imported brands
→ alternative healthier snacks.

Threat of new entrants ~~(Low)~~ (Medium)
→ significant brand recognition and well establish-
-ed work force, infrastructure and ditribution
channels. But modern-tech. and high-quality
cocoa butter can
easily be replica
-ted especially by
foreign brands.

Rivalry among competitors. (High)
→ intense market competition.
→ presence of well known internation
-al brands

① strengthen digital marketing and E-commerce
presence
- target specific customer segments and build
brand loyalty.
- making products accessible online.
- wider customer base.
- reduces the threat of substitutes
- lowers buyer power.
- allows CANDY to compete more effectively
with international brands.

② Diversify product line with health-conscious
offerings.
- reduces rivalry among competitors, threat of subs.

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c) 4Ps Marketing Mix.

1) Product.

- healthier alternative with premium ingredients
- contains less sugar.
- rich in antioxidants

✓ CANDY can differentiate this product from competitors in this trending customer segment

2) Price.

- use competitive pricing but position it slightly higher than regular chocolates.
- ~~bus~~ quantity discount pricing ~~data~~

✓ Appeal to customers who are willing to pay more for health benifits.

✓ Encourage customers to buy in larger amounts.

3) Promotion

- Advertising.
- Sales promotions
- Social media and influencer marketing
- Event marketing.
- Collaboration with health and nutrition experts.

✓ Target the health-conscious demographic.

✓ wide audience and create brand and product visibility.

4) Place

- use multiple channels to distribute the product. (Supermarkets, retail shops, CANDY's ~~own~~ own web site)
- make available in gyms and wellness ~~stat~~ stores.

✓ product reaches a wide range of customers.

✓ reach customers who prefer shopping digitally.

02 a) Figurehead - the symbolic head. Performs duties of social and legal nature.
A CEO attending a ribbon-cutting ceremony.

Leader - Responsible for motivating ~~and~~ and directing the subordinates in achieving objectives.
A manager conducting a team meeting.

Liaison - Maintain a network with the outside and provide info. to the ~~org~~ org.
A project manager networking with external partners.

b) i) Whether a person would be proud or ashamed of an action if he/she tells his/her mother he/she did.
~~A person who robs a house.~~
(A person decides to steal something or not thinking what his mother would say if she gets to know)

ii) What if the whole market or the majority of the society does the same thing. Would publicizing their action reap praise or criticism for their organisation.
A soft drink manufacturing company finds out that using a specific artificial sweetner would significantly reduce production cost but there is a controversy regarding long term health of consumers.

No: These are actions that comply with laws or regulations but may still violate moral or ethical standards.

iii) Breaking a verbal promise

iv) Casual adoption of a homeless child.
These are actions that may break the law but are generally considered morally right.

v) Digital information is easily copied shared, and altered.
A student finds a research paper online and submits it as their own work.

c) i) the selling concept
consumers and businesses if left alone, will not buy enough of the organisations products. the org. undertakes an aggressive selling and promotion effort

factory → products → selling/promoting → profits through sales.

the marketing concept
key to acheiving organisational goals consist of the company being more effective than competitors in creating, delivering and communicating consumer value to its target markets.

Targeted market → cutomer needs → marketing → profits through customer satisfaction

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ii) ?

iii) Insititutional leader :
- needs to create a vision and strategic plans to acheive institute's goals.
- decision making is guided by the institution's mission.

Country leader
- broader, long-term vision.
- decisions have far reaching implications and are often influenced by various factors.

$\boxed{03}$ a) Revenue (sales) = 30,000 (on credit)
110,000 (on cash) 140,000

opening stock = 8,000
purchases = 30,000 (cash)
50,000 (credit) 80,000
closing stock = 10,000

cost of goods sold = opening st. + pur. - closing st.
(COGS)
= 8,000 + 80,000 - 10,000
= 78,000

Gross profit = Revenue - COGS
= 140,000 - 78,000
= 62,000

Expenses
electricity = 14,000
telephone = 26,000 ~~40~~ 55,000

Net profit = Gross profit − total Expenses
= 62,000 − ~~40~~ 55,000
= ~~22,000~~ 7,000

profit and Loss for the period ending 31/12/2021

sales	140,000
Cost of goods sold	−(78,000)
gross profit	62,000
Total exp.	−(~~40~~ 55,000)
Net profit	~~22~~ 7,000

b) Assets

Non-current assets

Machinery : 285,000
(300,000 − 5%) 285,000

Current assets

Cash	: 61,000	(original)
	110,000	(cash sale)
	−30,000	(cash pur)
	−14,000	(electricity)
	−26,000	(telephone)
	50,000	(extra capital)
	−2,000	(Creditor pay.)
	149,000	

closing stock : 10,000 10,000

debtors : 20,000 (original)
+ 30,000 (cre. sales)
50,000

total assets = 285,000 + (149,000 + 10,000 + 50,000)
= 494,000.

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Equity

capital : 300,000 (original)

+ 50,000 (extra capital)

+ 7,000 (Net profit)

357,000

Non - curren liabilities

bank loan : 70,000

current liabilities

creditors : 19,000 (original)

+ 50,000 (cred. pur)

− 2,000 (creditor pay)

67,000

total equity + total lia = 357,000 + 70,000 + 67,000

= 494,000.

balance sheet as at 31/12/2021

Assests		
NC assets		
Machinery	285,000	~~285,000~~
C. assets		
cash	149,000	
stocks	10,000	
debtors	50,000	494,000
Equity		
capital	357,000	
NC lia.		
bank loan	70,000	
C liabilities		
creditors	67,000	494,000

c) i) current ratio = $\frac{\text{curr. assets}}{\text{curr liabilities}}$

$$CR_{2021} = \frac{209,000}{67,000} = 3.1194$$

$$CR_{2020} = \frac{89,000}{19,000} = 4.6842.$$

deterioration in the company's liquidity position.

ii) debt to equity ratio (D/E) = $\frac{\text{total lia.}}{\text{total equity.}}$

$$DER_{2020} = \frac{89,000}{300,000} = 0.2966$$

$$DER_{2021} = \frac{137,000}{357,000} = 0.3837$$

increase in D/E

the company is relying more on debt financing relative to its equity financing.

$\boxed{01}$ a) i) PP of machine A $= 3 + \cancel{50000}\ \frac{500{,}000}{750{,}000}$

$= 3.667$ years

PP of machine B $= 3 + \frac{(1700000 - 1350000)}{600{,}000}$

$= 3.5833$ years.

ii) $NPV_A = \frac{500{,}000}{(1.04)} + \frac{200{,}000}{(1.04)^2} + \frac{300{,}000}{(1.04)^3} + \frac{750{,}000}{(1.04)^4}$
$- 1{,}500{,}000$

$= 73{,}482.52$

$NPV_B = \frac{500{,}000}{(1.04)} + \frac{400{,}000}{(1.04)^2} + \frac{450{,}000}{(1.04)^3} + \frac{600{,}000}{(1.04)^4}$
$- 1{,}700{,}000$

$= 63{,}522.59$.

iii) I would recommend the machine A
(higher NPV and lower risk of ~~fumes~~ ~~env~~ ~~on~~ environmental impact of ~~productivity~~ fumes)

b) i) Assets = Owner's equity + Liabilities.

ii) ~~+25,000 (debtor) =~~

+25,000	(debtor)	= +25,000	(Sales)	+ 0
−20,000	(stocks)	−20,000	(COGS)	
+5,000		+5000		

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c) i) ~~selling~~ sells milk at a very low price, sometimes even at a loss, to attract customers.

ii) A streaming service offers a low introductory subscription rate to quickly attract customers and gain market share. Once the product gains a foothold in the market, the price may gradually increase.

iii) A new smartphone's price is at the highest possible value to recover the cost quickly. Price is reduced as the competition builds up.

iv) The price of a pair of shoes is set just below the round figure (Rs. 999.99)

v) ~~Cumulative p~~ customer loyalty cards give price discounts based on the total volume purchased over a period of time.

b) ii) inflows, years 1 – 4 7,000
less depreciation – 4,000
+1000 (scrap value)
total profit 4,000

Average annual profit $= \frac{4000}{4} = 1000$

Average investment $= \frac{(5000 + 1000)}{2} = 3000$

$ARR = \frac{AAP}{AAI} \times 100\% = \frac{1000 \times 100\%}{3000} = 33.33\%$